Meta: advertising strength meets the full cost of AI

Meta combines an enormous consumer audience with advertiser demand, recommendation systems and commercial messaging. Better recommendations can increase engagement, useful ad impressions and advertiser returns across an existing distribution network. This creates a credible route to earnings growth. Personal agents and commerce add potential receipts, but they also require expensive computing capacity, support and product development.

The Q4 2027 ceiling changes from USD 960 to USD 800 per legacy economic share unit, a decline of about 17%. The active window remains Q4 2027 through Q3 2028. The sanctioned method remains 20x forward-four-quarter consolidated GAAP operating profit divided by 2,560 million legacy units. Analytical Base moves from 80 to 77 rounded; protected Excel Base remains 80.

Advertising evidence improves, while the rebuilt forecast now explicitly costs data centers entering service, continuing cash operating expenses and compensation. The separate New Mexico judgment adds legal and financing risk. The forecast reduction is an ASTRA analytical cost and risk revision. Meta has supplied no numerical 2027 total revenue, expense or capex guidance. These targets are conditional estimates, not management profit guidance.

Control	Treatment
Profit definition	Consolidated GAAP OP, including ordinary stock compensation and legal expenses when recognized.
Share comparison	2,560M legacy economic units. After the proposed distribution, one old Class A unit corresponds to an A plus C pair.
Valuation	20x the sum of four consecutive quarterly OP values, divided by the starting legacy-unit denominator.
Price context	Existing spreadsheet quotes are dated or undated historical inputs. No fresh price-dependent return claim is made.
Funding limit	Point valuation retains the owner share convention; the cash path requires uncommitted funding in several scenarios. Financing sensitivities are shown.

The economic bottleneck and the alpha

Meta already reaches consumers at scale. Its next constraint is converting more capable AI into receipts faster than the full cost of the infrastructure and applications needed to serve them. The strongest near-term channel is better advertising inside an established auction and distribution network. The more speculative channel is permissioned agent commerce, subscriptions and business services. Users, activity, gross merchandise value and Meta revenue have different economic meanings.

Vector	Company receipts	Cost and competitive constraint
Advertising and recommendations	More useful impressions, conversion and pricing across Facebook and Instagram.	Competing attention, advertiser budgets, privacy restrictions, training and serving costs.
Messaging and business agents	Business interactions, commerce and paid business services.	Customer integration, distribution permissions, sales and support. Included in the core forecast unless separately identified.
Muse personal agents	Conditional paid subscriptions, commerce take and payment receipts.	Most early users may be free; inference, memory, tools, application support and training remain paid.
Reality Labs and glasses	Hardware and eventual software/services.	Hardware is priced for small profit and the segment remains loss-making. No automatic high-margin agent revenue pool.

The potentially underappreciated value is Meta's ability to introduce useful AI into an existing commercial network. The potentially underappreciated cost is depreciation as paid infrastructure becomes operational, plus cash demands before revenue matures. The model tests both. Larger compute budgets alone do not establish excess returns. Sustainable monetization, useful intelligence per dollar and capital discipline determine whether the new assets earn enough.

META / 21 OCTOBER 2026 / FULL FRAMEWORK 8.0 EARNINGS REVIEW

September results and December outlook

September 2026, USD million	Reported actual	Old model
Revenue	64,601	62,500
Cost of revenue	13,369	12,938
Gross profit, arithmetic	51,232	49,562
Total costs	51,613	40,625
Consolidated GAAP OP	12,988	21,875

Revenue was USD 64,601M. Advertising contributed USD 63,061M, other Family of Apps USD 1,097M and Reality Labs USD 443M. Family of Apps OP was USD 17,117M and Reality Labs lost USD 4,129M. R&D was USD 20,054M, marketing/sales USD 3,333M and G&A USD 14,857M. These operating costs include the USD 9,890M youth-settlement charge. Ordinary SBC remains fully expensed.

Reported GAAP OP is USD 12,988M and net income USD 9,860M. The issuer's illustration excluding the youth charge gives OP of USD 22,878M. That illustration helps interpret operating performance, but the sanctioned valuation retains GAAP OP. September operating cash flow was USD 32,786M; cash PPE purchases were USD 33,942M and finance-lease principal USD 964M, giving company capex of USD 34,906M and free cash flow of negative USD 2,120M.

Company outlook or derived arithmetic	December / FY2026
Q4 revenue	USD 73,000-76,000M; midpoint USD 74,500M.
FY2026 total costs	USD 175,000-179,000M, including the Q3 youth charge.
Q4 total costs derived from nine-month actuals	USD 47,923-51,923M; midpoint USD 49,923M.
Q4 ordinary OP midpoint, arithmetic	USD 24,577M before our separate analytical New Mexico charge.
FY2026 capex including lease principal	USD 135,000-145,000M.
Reality Labs	FY2026 loss USD 18,000-19,000M; around USD 15,000M in 2027.
2027 consolidated quantitative guide	Not supplied; management expects fuller budget and capacity discussion on the Q4 call.

The Q4 cost range is full-year guidance less nine-month reported costs of USD 127,077M. It is arithmetic on rounded guidance, not an explicit company OP guide. Our separate probability-weighted New Mexico principal charge of USD 11,250M is placed analytically in Q4 2026 beyond this ordinary midpoint, taking modeled Q4 GAAP OP to USD 13,327M. The company has not confirmed that recognition quarter or that treatment in its guidance.

- Family daily active people (DAP) – DAP was 3.64 billion on average for September 2026, an increase of 3% year-over-year.
- Ad impressions – Ad impressions delivered across our Family of Apps increased by 10% year-over-year.
- Average price per ad – Average price per ad increased by 14% year-over-year.
- Revenue – Revenue was $64.60 billion, an increase of 26% year-over-year on both a reported and constant currency basis.
- Costs and expenses – Total costs and expenses were $51.61 billion, an increase of 68% year-over-year. This includes the litigation charge as discussed above.
- Capital expenditures – Capital expenditures, including principal payments on finance leases, were $34.91 billion.
- Capital return program – Dividend and dividend equivalent payments were $1.36 billion.
- Cash, cash equivalents, and marketable securities – Cash, cash equivalents, and marketable securities were $82.45 billion as of September 30, 2026.
- Cash flow – Cash flow from operating activities was $32.79 billion, and free cash flow was negative $2.12 billion.(1)
- Headcount – Headcount was 66,775 as of September 30, 2026, a decrease of 15% year-over-year.

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(1) For more information on our free cash flow non-GAAP financial measure, see the sections entitled "Non-GAAP Financial Measures" and "Reconciliation of GAAP to Non-GAAP Results" in this press release.

CFO Outlook Commentary

We expect fourth quarter 2026 total revenue to be in the range of $73-76 billion. Our guidance assumes foreign currency is an approximately 1% headwind to year-over-year total revenue growth, based on current exchange rates.

We are raising our expense outlook to incorporate the $9.9 billion charge related to legal proceedings recognized in the third quarter. We now expect full year 2026 total expenses to be in the range of $175-179 billion.

Excluding the third quarter legal charge, we continue to expect 2026 operating income to be above 2025 operating income.

At a segment level, we now expect Reality Labs losses to decline compared to 2025 to a range of $18-19 billion.

We anticipate 2026 capital expenditures, including principal payments on finance leases, to be in the range of $135-

Meta issuer release, 21 October 2026, physical page 2. Original financial and outlook disclosure. Source decimals and reported definitions are retained in the original pixels.

The newest two management calls

Call	Evidence and change	Model consequence
29 July 2026, Q2	Established recommendation improvements, business messaging, infrastructure plans and early personal-agent economics. Full 21-page issuer transcript was read previously; exact original hash verified.	The inherited core reference already contains substantial AI-driven ad growth. Remove the old Muse overlay before replacing it.
21 October 2026, Q3	Stronger revenue outlook, continuing AI investment, early Muse usage and prospective compute efficiency. Full returned Quartr prepared remarks and Q&A read through closing.	Carry only the new revenue run-rate difference over the common reference, with state-specific cash costs, compensation and paid-asset depreciation.
Usage versus commercial conversion	More than 10M Muse setups in the US/Canada over six weeks; about 25% daily use. Shopping and purchase statistics describe activity.	These are not paid subscriptions or recognized Meta agent revenue. Future users, conversion, pricing and take remain explicit proxies.
Corrected ARPU interpretation	Management's several-hundred-dollar ARPU discussion concerned existing FoA users using Muse. Meta One includes subscriptions and trials.	Do not assign that ARPU to Muse or count trials as paying users.
Efficiency and resources	Prospective greater-than-10x compute efficiency; resources shift from Reality Labs toward AI.	Efficiency applies to selected unit compute costs; product quality can consume savings. The full RL loss reduction is not an extra free profit increment.

The current complete returned call is a redistribution text, not an issuer-hosted transcript PDF or an independently listened audio record. Current issuer slides, full Q3 10-Q and full capital-action filings were unavailable in the captured packet. Known omissions remain recorded rather than inferred from an inaccessible source. The issuer release, full current returned call and prior full issuer transcript provide substantive coverage of the two newest management calls.

META / 21 OCTOBER 2026 / FULL FRAMEWORK 8.0 EARNINGS REVIEW

Muse: receipts, compute, support and overlap

The conditional cohort uses an annual revenue proxy of USD 52 per active user rounded. This is built from paid tiers, eligible commerce and payment receipts. It is an ASTRA sensitivity structure, not disclosed current Muse ARPU. Core average active users reach 70M in Q4 2027 and 220M in Q4 2028. Slower and faster states scale that path to 30% and 150% respectively. The old probability overlay is removed completely before these outcomes are applied.

Annual unit bridge	Explicit analytical assumption
Paid tiers	94% free, 5% at USD 20 per month and 1% at USD 100 per month; 80% net receipts after leakage. Annual contribution rounds to USD 19.

Annual unit bridge	Explicit analytical assumption
Commerce	USD 6,000 gross merchandise value per user, 25% eligible and 2% take; USD 30 annual receipts. GMV is not Meta revenue.
Payments	5 basis points on the same USD 6,000 volume; USD 3 annual receipts.
Cash serving cost before efficiency	USD 98 per user rounded after removing separately modeled hardware depreciation from the old cost proxy.
Efficiency exposure	60% of cash serving costs benefits from the state efficiency path; 40% remains unchanged.
Application support	USD 5 per user annually, additional to serving costs.
Revenue and cost overlap	Only 50% of gross Muse receipts and cash service costs are incremental to the core forecast.
Hardware and capex	Hardware depreciation overlaps 100% with the company asset-cohort DA. Muse capital is allocated inside the total capex budget.

Quarter	Avg active users M	Net receipts	Net cash service cost	Net OP	Capex allocation
Q3 2026	0	0	0	0	0
Q4 2026	5	0	0	0	0
Q1 2027	10	63	88	-25	61
Q2 2027	19	125	143	-18	121
Q3 2027	38	251	258	-7	243
Q4 2027	67	438	431	7	364
Q1 2028	96	626	616	10	364
Q2 2028	134	877	863	14	486
Q3 2028	173	1,128	1,109	18	486
Q4 2028	211	1,378	1,356	22	486
Q1 2029	240	1,566	1,541	25	364
Q2 2029	288	1,879	1,849	30	607
Q3 2029	336	2,192	2,157	35	607
Q4 2029	384	2,506	2,465	41	607
Q1 2030	432	2,819	2,773	46	607
Q2 2030	480	3,132	3,081	51	607
Q3 2030	528	3,445	3,389	56	607
Q4 2030	576	3,758	3,698	61	607

Net receipts equal active users times annual revenue divided by four, then the non-overlapping fraction. Net cash service cost equals active users times annual cash serving cost after the selective efficiency factor plus support, divided by four and multiplied by the non-overlapping fraction. Muse net OP is the difference; company-wide depreciation already covers its hardware. Q4 2026 remains inside consolidated guidance, with no separately added Muse receipts or profit. This avoids a second hardware cost and a second compute revenue pool.

Data centers entering service: full paid-asset cost

At September end, reported net PPE was USD 253,222M. June construction in progress of USD 80,345M is used only as a dated proxy for the September composition. It already sits inside total assets. Activating it starts depreciation; it does not create another asset purchase. The actual September CIP mix and readiness schedule remain unknown.

Cohort driver	Root-selected treatment
Opening DA	Annualize current quarterly DA of USD 7,154M to USD 28,616M; run off the existing in-service pool by 5% annually.
Opening CIP activation	50% in 2027, 35% in 2028 and 15% in 2029; half-year DA in each activation year.
Asset mix and useful lives	75% server/network at 66 months; 25% buildings at 330 months. Life points lie within verified source policies; mix is an ASTRA assumption.
Q4 2026 cash PPE	USD 53,212M; 80% commissioned in the following year.
Future capex including lease principal	USD 160,000 / 190,000 / 210,000 / 220,000M in 2027 / 2028 / 2029 / 2030. These are ASTRA scenarios, not company guidance.
Future lease proxies	USD 4,000M annual lease principal inside capex; USD 6,000M annual noncash finance ROU additions create depreciation but no immediate cash purchase.
New-cohort DA timing	35% of full annual DA in the first year, 85% in the second and 100% from the third.

Full-year asset DA rate equals the sum of each asset weight divided by its useful life. Opening-pool DA, activated opening CIP, the Q4 2026 cohort and every new annual cash/ROU cohort are calculated separately. Future quarterly DA uses the old quarterly cost seasonality, an allocation proxy rather than a claimed monthly commissioning schedule. Reported DA includes amortization, so the PPE-equivalent roll-forward is a diagnostic rather than a complete GAAP balance sheet.

Year	Opening pool DA	Q4 cohort DA	Opening CIP DA	New cohorts DA	Total DA
2027	27,185	6,192	2,922	8,247	44,546
2028	25,826	6,192	7,888	29,804	69,710
2029	24,535	6,192	10,810	58,095	99,631
2030	23,308	6,192	11,687	89,004	130,190

DA year	Capex cohort	Cash PPE	Noncash ROU	DA recognition	Annual DA
2027	2027	156,000	6,000	35%	8,247
2028	2027	156,000	6,000	85%	20,029
2028	2028	186,000	6,000	35%	9,775
2029	2027	156,000	6,000	100%	23,564
2029	2028	186,000	6,000	85%	23,738
2029	2029	206,000	6,000	35%	10,793
2030	2027	156,000	6,000	100%	23,564
2030	2028	186,000	6,000	100%	27,927
2030	2029	206,000	6,000	85%	26,211
2030	2030	216,000	6,000	35%	11,302

Year	Other cash cost	Additional AI R&D	SBC	DA	Total before state / Muse effects
2027	127,705	7,000	30,000	44,546	209,251
2028	150,692	10,000	32,000	69,710	262,402
2029	173,296	11,000	34,000	99,631	317,927
2030	197,557	12,000	36,000	130,190	375,747

The 2026 ordinary cost anchor is the USD 177,000M full-year midpoint less the USD 9,890M youth charge. Removing annual DA of USD 27,509M and SBC of USD 28,553M leaves USD 111,048M of other cash cost. That cash base grows 15%, 18%, 15% and 14% annually, plus the explicit AI R&D line above. Stock compensation stays fully expensed in OP. Annual cost is allocated by exact old reference-quarter cost weights. The demand-related cash-cost elasticity is 55%; it does not remove fixed spending.

Our non-marketable equity investments accounted for using the measurement alternative are recorded at fair value on a non-recurring basis. When an impairment loss or upward adjustment from observable price changes of qualified transactions occur, the respective non-marketable equity investment would be classified within Level 3 of the fair value hierarchy because the valuation methods include a combination of the observable transaction price at the transaction date and other unobservable inputs including volatility, rights, and obligations of the securities we hold. For the years ended December 31, 2025 and 2024, changes in the fair value recorded for our non-marketable equity securities were not material. For additional information, see Note 5 — Non-Marketable Equity Investments.

Variable Interest Entities

At the inception of each arrangement, we determine whether an entity in which we have made an investment or in which we have other variable interests is considered a variable interest entity (VIE). Significant judgment is required to identify the activities that most significantly affect the VIE's economic performance, based on its purpose and design. We assess whether we have both the power to direct those activities and the obligation to absorb the majority of the VIE's losses or benefits. We evaluate whether we are the primary beneficiary of the VIE, in which case we would consolidate the entity.

As of December 31, 2025, we are not the primary beneficiary of the VIEs related to our investments, and therefore the VIEs are not consolidated. These investments are accounted for as equity method investments included within non-marketable equity investments on our consolidated balance sheet. We continually monitor our involvement with the VIEs and will consolidate them if we become the primary beneficiary in the future. For additional information, see Note 5 — Non-Marketable Equity Investments.

Accounts Receivable and Allowances

Accounts receivable are recorded and carried at the original invoiced amount less an allowance for any potential uncollectible amounts. We make estimates of expected credit and collectibility trends for the allowance for credit losses and allowance for unbilled receivables based upon our assessment of various factors, including historical experience, the age of the accounts receivable balances, credit quality of our customers, current economic conditions, reasonable and supportable forecasts of future economic conditions, and other factors that may affect our ability to collect from customers. Expected credit losses are recorded as general and administrative expenses on our consolidated statements of income. As of December 31, 2025 and 2024, the allowance for credit losses on accounts receivable were not material.

Property and Equipment

Property and equipment, including finance leases, are depreciated and stated at cost less accumulated depreciation. Depreciation is computed using the straight-line method over the estimated useful lives of the assets or the remaining lease term, whichever is shorter.

The estimated useful lives of property and equipment and amortization periods of finance lease right-of-use (ROU) assets as of December 31, 2025 are described below:

Property and Equipment	Useful Life/ Amortization period
Servers and network assets	Five to 5.5 years
Buildings	25 to 30 years
Equipment and other	One to 25 years
Finance lease right-of-use assets	Five to 20 years
Leasehold improvements	Lesser of estimated useful life or remaining lease term

We evaluate at least annually the recoverability of property and equipment for possible impairment whenever events or circumstances indicate that the carrying amount of such assets may not be recoverable. If such review indicates that the carrying amount of property and equipment assets is not recoverable, and the asset's fair value is less than the carrying amount, an impairment loss is recognized in income from operations.

The useful lives of our property and equipment are management's estimates when the assets are initially recognized and are routinely reviewed for the remaining estimated useful lives. Our estimate of useful lives represents the best estimate

Meta FY2025 annual report distribution, physical page 100. Original useful-life policies. It is dated annual-report evidence; future asset mix and activation are ASTRA estimates.

Rule16b: business outcomes and legal outcomes

Mutually exclusive business state	Weight	New ad-runrate carry	Muse user scale	Efficiency ceiling
slower adoption cost progress	20%	50%	30%	2x
continued ads and efficiency	60%	100%	100%	10x
faster commercial adoption	20%	150%	150%	10x

The business states sum to 100%. Their endpoints are root estimates, not probabilities announced by Meta. The new Q4 midpoint of USD 74,500M versus the old USD 70,000M produces a 643-basis-point run-rate difference. Each state carries only its selected fraction of that difference into inherited reference revenue. It does not add total year-on-year growth again. The slow state also pays USD 2,000M extra cash cost in 2027 and USD 1,000M annually later.

Reviewed signal	Conditional probability	Separate extra receipts / OP	Overlap treatment
Enterprise agents	50%	Zero	Core business-agent and Muse cases already contain the opportunity.
External compute sales	40%	Zero	No separate net capacity/customer wallet after internal opportunity cost.
Glasses	60%	Zero	Reality Labs costs and existing core receipts retained.
Reality Labs reallocation	80%	Zero	Consolidated cash cost pays for AI redeployment.
Compute efficiency headline	60%	Zero	Selective serving efficiency modeled once; no blanket company cost cut.

Separate New Mexico outcome	Probability	Principal	Cash with assumed two-year simple interest
reversed	25%	0	0
reduced on appeal	50%	10,000	13,000
affirmed	25%	25,000	32,500

The court order itself is verified fact: USD 25,000M plus 15% annual interest until paid. The 25% reversal / 50% reduced-to-USD-10,000M / 25% affirmed outcomes are LOW-confidence ASTRA assumptions. They produce expected principal of USD 11,250M and an illustrative payment of USD 14,625M after two years of simple interest. Neither appeal outcome, payment date, accounting recognition, stay nor compounding is established by those assumptions. Three business states cross three legal states for nine funding paths before weighting.

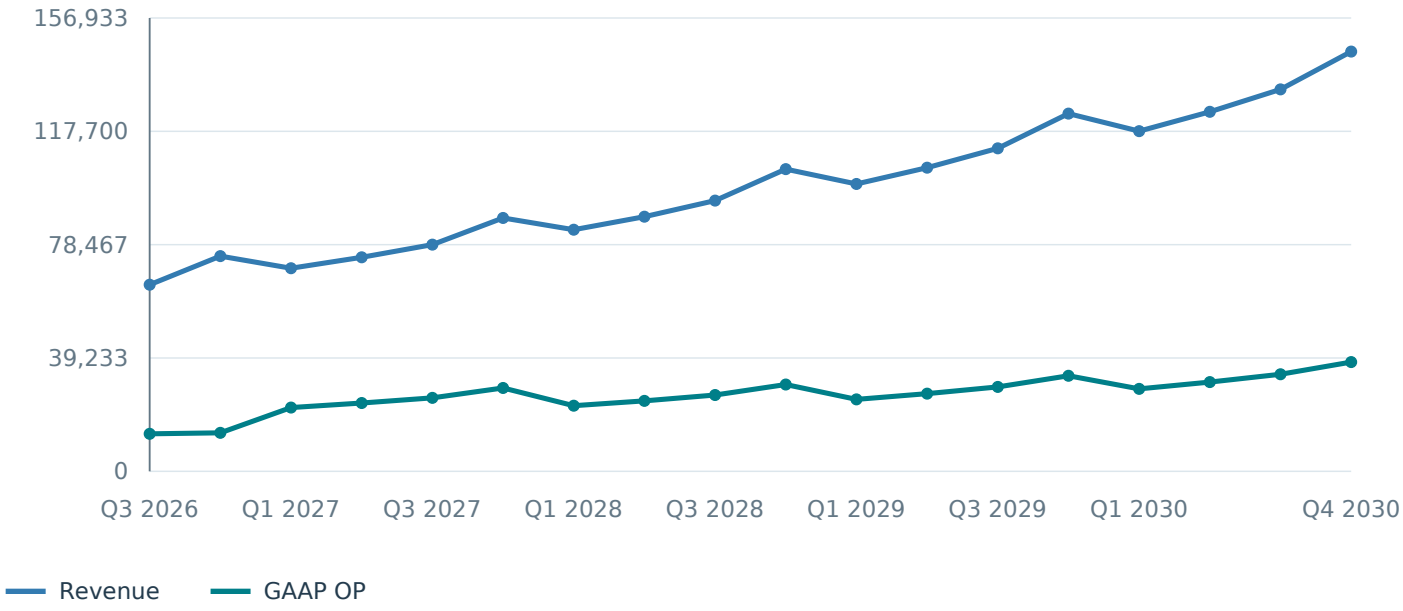
Quarterly model: every receipt, cost and profit

USD millions. Q3 2026 is reported GAAP. Q4 revenue and ordinary cost use the issuer midpoint arithmetic, with the separate analytical New Mexico charge clearly added. Later quarters are probability-weighted ASTRA estimates. Forecast COGS at 2,070 basis points of receipts is an analytical consolidated allocation; no separate segment gross margin was reported. Opex equals total costs less COGS, including ordinary SBC, DA and applicable analytical legal expense.

Quarter	Revenue	COGS	Gross profit	Opex	GAAP OP
Q3 2026	64,601	13,369	51,232	38,244	12,988
Q4 2026	74,500	15,422	59,078	45,752	13,327
Q1 2027	70,305	14,553	55,752	33,678	22,075
Q2 2027	74,093	15,337	58,756	35,109	23,647
Q3 2027	78,476	16,244	62,231	36,796	25,435
Q4 2027	87,710	18,156	69,554	40,698	28,856
Q1 2028	83,641	17,314	66,327	43,607	22,720
Q2 2028	88,148	18,247	69,902	45,510	24,392
Q3 2028	93,720	19,400	74,320	47,904	26,416
Q4 2028	104,614	21,655	82,959	52,909	30,049
Q1 2029	99,480	20,592	78,888	53,979	24,908
Q2 2029	105,115	21,759	83,356	56,464	26,892
Q3 2029	111,814	23,145	88,668	59,445	29,223
Q4 2029	123,834	25,634	98,200	65,119	33,081
Q1 2030	117,762	24,377	93,385	64,838	28,547
Q2 2030	124,461	25,763	98,697	67,802	30,896
Q3 2030	132,224	27,370	104,853	71,252	33,602
Q4 2030	145,308	30,079	115,230	77,409	37,821

Revenue and full-cost operating profit

USD million



Q3 2026 reported; Q4 ordinary midpoint plus separate analytical legal charge; later periods are ASTRA estimates. Whole display, full-precision model.

Quarter	Revenue	OP
Q3 2026	64,601	12,988
Q4 2026	74,500	13,327
Q1 2027	70,305	22,075
Q2 2027	74,093	23,647
Q3 2027	78,476	25,435
Q4 2027	87,710	28,856
Q1 2028	83,641	22,720
Q2 2028	88,148	24,392
Q3 2028	93,720	26,416
Q4 2028	104,614	30,049
Q1 2029	99,480	24,908
Q2 2029	105,115	26,892
Q3 2029	111,814	29,223
Q4 2029	123,834	33,081
Q1 2030	117,762	28,547

Quarter	Revenue	OP
Q2 2030	124,461	30,896
Q3 2030	132,224	33,602
Q4 2030	145,308	37,821

Quarter	DA	SBC	Other operating cost	NM charge
Q3 2026	7,154	7,363	37,096	0
Q4 2026	8,000	7,500	45,673	11,250
Q1 2027	10,229	6,889	31,113	0
Q2 2027	10,688	7,198	32,560	0
Q3 2027	11,215	7,553	34,272	0
Q4 2027	12,414	8,360	38,081	0
Q1 2028	16,008	7,349	37,564	0
Q2 2028	16,696	7,664	39,397	0
Q3 2028	17,572	8,066	41,666	0
Q4 2028	19,434	8,921	46,209	0
Q1 2029	22,872	7,805	43,895	0
Q2 2029	23,919	8,163	46,142	0
Q3 2029	25,190	8,596	48,804	0
Q4 2029	27,650	9,436	53,667	0
Q1 2030	29,935	8,277	51,003	0
Q2 2030	31,334	8,665	53,566	0
Q3 2030	32,979	9,119	56,524	0
Q4 2030	35,942	9,939	61,606	0

The other operating-cost column is total cost less DA and SBC. It includes legal accruals where applicable and should not be read as an exact cash payment column. The New Mexico charge is separately identified inside it, not added to total costs a second time. Display rounding can create USD 1M differences; saved formulas retain full precision.

Quarter	Old core revenue	Old core OP	Old core cost
Q3 2026	62,500	21,875	40,625
Q4 2026	70,000	25,200	44,800
Q1 2027	66,000	23,430	42,570

Quarter	Old core revenue	Old core OP	Old core cost
Q2 2027	69,500	25,020	44,480
Q3 2027	73,500	26,828	46,672
Q4 2027	82,000	30,340	51,660
Q1 2028	78,000	28,860	49,140
Q2 2028	82,000	30,750	51,250
Q3 2028	87,000	33,060	53,940
Q4 2028	97,000	37,345	59,655
Q1 2029	92,000	35,420	56,580
Q2 2029	97,000	37,830	59,170
Q3 2029	103,000	40,685	62,315
Q4 2029	114,000	45,600	68,400
Q1 2030	108,000	43,200	64,800
Q2 2030	114,000	46,170	67,830
Q3 2030	121,000	49,610	71,390
Q4 2030	133,000	55,195	77,805

Quarter	Business state	Revenue	Total cost	DA	SBC	OP
Q3 2026	slower adoption cost progress	64,601	51,613	7,154	7,363	12,988
Q3 2026	continued ads and efficiency	64,601	51,613	7,154	7,363	12,988
Q3 2026	faster commercial adoption	64,601	51,613	7,154	7,363	12,988
Q4 2026	slower adoption cost progress	74,500	61,173	8,000	7,500	13,327
Q4 2026	continued ads and efficiency	74,500	61,173	8,000	7,500	13,327
Q4 2026	faster commercial adoption	74,500	61,173	8,000	7,500	13,327
Q1 2027	slower adoption cost progress	68,141	47,371	10,229	6,889	20,770
Q1 2027	continued ads and efficiency	70,308	48,143	10,229	6,889	22,165
Q1 2027	faster commercial adoption	72,462	49,355	10,229	6,889	23,107
Q2 2027	slower adoption cost progress	71,773	49,513	10,688	7,198	22,260

Quarter	Business state	Revenue	Total cost	DA	SBC	OP
Q2 2027	continued ads and efficiency	74,098	50,354	10,688	7,198	23,745
Q2 2027	faster commercial adoption	76,398	51,656	10,688	7,198	24,742
Q3 2027	slower adoption cost progress	75,941	51,996	11,215	7,553	23,945
Q3 2027	continued ads and efficiency	78,486	52,944	11,215	7,553	25,542
Q3 2027	faster commercial adoption	80,979	54,374	11,215	7,553	26,605
Q4 2027	slower adoption cost progress	84,773	57,612	12,414	8,360	27,161
Q4 2027	continued ads and efficiency	87,728	58,748	12,414	8,360	28,980
Q4 2027	faster commercial adoption	90,592	60,416	12,414	8,360	30,176
Q1 2028	slower adoption cost progress	80,703	59,384	16,008	7,349	21,319
Q1 2028	continued ads and efficiency	83,667	60,882	16,008	7,349	22,785
Q1 2028	faster commercial adoption	86,500	62,573	16,008	7,349	23,927
Q2 2028	slower adoption cost progress	84,910	62,021	16,696	7,664	22,889
Q2 2028	continued ads and efficiency	88,185	63,719	16,696	7,664	24,466
Q2 2028	faster commercial adoption	91,277	65,605	16,696	7,664	25,672
Q3 2028	slower adoption cost progress	90,149	65,354	17,572	8,066	24,795
Q3 2028	continued ads and efficiency	93,767	67,267	17,572	8,066	26,500
Q3 2028	faster commercial adoption	97,151	69,367	17,572	8,066	27,784
Q4 2028	slower adoption cost progress	100,549	72,322	19,434	8,921	28,227
Q4 2028	continued ads and efficiency	104,671	74,525	19,434	8,921	30,146
Q4 2028	faster commercial adoption	108,507	76,926	19,434	8,921	31,581
Q1 2029	slower adoption cost progress	95,447	72,276	22,872	7,805	23,171
Q1 2029	continued ads and efficiency	99,546	74,544	22,872	7,805	25,001

Quarter	Business state	Revenue	Total cost	DA	SBC	OP
Q1 2029	faster commercial adoption	103,318	76,950	22,872	7,805	26,368
Q2 2029	slower adoption cost progress	100,705	75,676	23,919	8,163	25,029
Q2 2029	continued ads and efficiency	105,193	78,197	23,919	8,163	26,996
Q2 2029	faster commercial adoption	109,290	80,847	23,919	8,163	28,442
Q3 2029	slower adoption cost progress	106,996	79,777	25,190	8,596	27,219
Q3 2029	continued ads and efficiency	111,905	82,566	25,190	8,596	29,339
Q3 2029	faster commercial adoption	116,358	85,478	25,190	8,596	30,880
Q4 2029	slower adoption cost progress	118,447	87,594	27,650	9,436	30,853
Q4 2029	continued ads and efficiency	123,939	90,727	27,650	9,436	33,212
Q4 2029	faster commercial adoption	128,908	93,990	27,650	9,436	34,918
Q1 2030	slower adoption cost progress	112,352	85,953	29,935	8,277	26,399
Q1 2030	continued ads and efficiency	117,879	89,202	29,935	8,277	28,677
Q1 2030	faster commercial adoption	122,819	92,514	29,935	8,277	30,304
Q2 2030	slower adoption cost progress	118,643	90,035	31,334	8,665	28,608
Q2 2030	continued ads and efficiency	124,591	93,554	31,334	8,665	31,037
Q2 2030	faster commercial adoption	129,887	97,128	31,334	8,665	32,759
Q3 2030	slower adoption cost progress	125,966	94,808	32,979	9,119	31,158
Q3 2030	continued ads and efficiency	132,367	98,612	32,979	9,119	33,755
Q3 2030	faster commercial adoption	138,051	102,466	32,979	9,119	35,585
Q4 2030	slower adoption cost progress	138,449	103,309	35,942	9,939	35,140
Q4 2030	continued ads and efficiency	145,465	107,477	35,942	9,939	37,988
Q4 2030	faster commercial adoption	151,698	111,699	35,942	9,939	39,999

All fifteen forward valuation derivations

For each starting quarter, add the next four quarterly consolidated GAAP operating-profit figures, including the starting quarter. Multiply that sum by 20 and divide by 2,560M legacy economic units. The Q4 2027 row therefore uses Q4 2027 and Q1, Q2 and Q3 2028. No EBITDA substitution, tax multiple conversion, net-cash premium or new multiple increase enters the method.

Start	OP term 1	OP term 2	OP term 3	OP term 4	F4Q OP	20x / 2,560M
Q3 2026	12,988	13,327	22,075	23,647	72,037	563
Q4 2026	13,327	22,075	23,647	25,435	84,484	660
Q1 2027	22,075	23,647	25,435	28,856	100,013	781
Q2 2027	23,647	25,435	28,856	22,720	100,658	786
Q3 2027	25,435	28,856	22,720	24,392	101,402	792
Q4 2027	28,856	22,720	24,392	26,416	102,383	800
Q1 2028	22,720	24,392	26,416	30,049	103,577	809
Q2 2028	24,392	26,416	30,049	24,908	105,766	826
Q3 2028	26,416	30,049	24,908	26,892	108,266	846
Q4 2028	30,049	24,908	26,892	29,223	111,073	868
Q1 2029	24,908	26,892	29,223	33,081	114,105	891
Q2 2029	26,892	29,223	33,081	28,547	117,743	920
Q3 2029	29,223	33,081	28,547	30,896	121,747	951
Q4 2029	33,081	28,547	30,896	33,602	126,126	985
Q1 2030	28,547	30,896	33,602	37,821	130,865	1,022

Conditional diagnostic	Ceiling USD
slower adoption cost progress conditional outcome	751
continued ads and efficiency conditional outcome	803
faster commercial adoption conditional outcome	840
10% additional share dilution with unchanged OP	727
20% forward OP shortfall with unchanged multiple	640

The Class C charter amendment is scheduled to take effect on 19 January 2027. The intended pro-rata distribution gives one C share for each existing A or B share, with record and payment dates still to be

announced. That distribution alone raises no cash and gives no outsider additional economic ownership. One retained legacy Class A economic unit would correspond to an A plus C pair after distribution. The USD 800 rounded target is for that comparable unit, not a stand-alone future Class A quote. Doubling a raw share count while holding the economic claim fixed would halve the per-new-share arithmetic; relative A/C trading values are not assumed equal.

Alternative legal timing stress	Reduction in active target USD
Full USD 25B principal first recognized inside the active profit window	195
Expected USD 11B principal first recognized inside the active profit window	88

The timing stresses place the first legal expense recognition inside the active profit window instead of Q4 2026. They are alternative accounting-timing cases, not another charge on top of the current model. Final recognition and classification remain unknown. They illustrate why apparently remote legal cash can also affect an OP-based valuation if expense timing moves.

Legal exposure, cash conversion and financing

Two separate legal matters require separate treatment. The youth settlement produced the actual USD 9,890M Q3 charge. Its nominal maximum is USD 18,590M, with conditions and approximately ten annual installments; accrual, nominal commitment and payment timing differ. The model uses a conservative equal USD 1,859M annual cash proxy from 2027, without repeating the Q3 expense each year. Exact contractual cash dates and conditional reductions remain unverified.

The separate New Mexico privacy judgment was filed 21 October 2026 in case D-101-CV-2021-00132. The court reduced the statutory assessment to USD 25,000M and ordered 15% annual interest until paid. The larger original statutory calculation and the reduced award are not additive. The injunction remains reserved. The actual court document does not establish our assumed Q4 2026 accounting charge, Q4 2028 payment, appeal reduction or a financing solution.

P.A., 21 F.4th 1288, 1314 (11th Cir. 2021) (civil penalty of $1,179,000 against alleged harm of $755.54 not excessive where defendant engaged in 214 instances of fraud, and fine was lower than the potential statutory maximum).

18. The extraordinary number of willful violations found by the jury, the duration and repetition of the conduct, the breadth of subjects on which violations occurred, the involvement of senior Facebook leadership, the size of the New Mexico audiences reached, and the clearly intentional and systematic nature of Facebook's repeated misstatements established in the trial record support the highest level of penalty allowed by the New Mexico Unfair Practices Act - $5,000 per violation found by the jury.

19. Facebook received notice of the claims against it and a full opportunity to defend against liability, willfulness, and the number of violations during a thirteen-day jury trial. As the Court observed following the verdict, Facebook "had all the incentive that was required to defend this case vigorously" and "did defend vigorously."

IT IS THEREFORE ORDERED, ADJUDGED AND DECREED as follows:

1. The State is awarded and shall recover a civil penalty against Meta in the amount of $219,498,600,000.00, which penalty is reduced to the amount of $25,000,000,000.00.

2. Interest on the penalty shall accrue at the rate of fifteen percent (15%) per annum until paid in full.

3. The Court will reserve on injunctive relief pending further briefing in this matter.

Francis J. Mathew
District Court Judge

xc: Counsel, e-served

New Mexico court judgment, filed 21 October 2026, physical page 20. Original USD 25 billion penalty and 15% annual interest language. Court facts are distinct from ASTRA appeal and cash-timing assumptions.

Opening unrestricted cash and marketable securities total USD 82,449M; restricted cash of USD 13,132M is excluded. Cash operations add back DA, SBC and the noncash analytical legal charge once, subtract the tax and incremental working-capital proxies, and pay the uncapitalized coupon portion. Capex already includes

finance-lease principal and Muse capital allocation. Award settlement tax, dividends, dated debt principal and legal cash are then paid separately.

Cash assumption	Explicit proxy or source boundary
Tax and working capital	16% tax on operating profit before the analytical NM charge; 5% of incremental receipts as NWC cash use. No assumed penalty tax shield.
Debt	Dated June note principal USD 84,000M. Annual maturities USD 2,750 / 1,500 / 1,000 / 5,000M in 2027-2030, conservatively in Q1, not asserted exact dates.
Coupons	USD 4,400M annual opening gross coupon proxy, declining with notes. 70% paid outside the fixed capex budget; 30% already inside it. Exact future capitalization split is unknown.
Separate cash returns	Award-settlement tax USD 4,064M and dividends USD 1,361M per quarter; no automatic buybacks.
Commitments	Cloud/hardware commitments and uncommenced leases are source risks. Costs/capex already pay for the operating plan; the whole commitment total is not added again.
Liquidity reserve	USD 10,000M. No automatic new equity or debt proceeds. Negative cash is an unfunded requirement, not available cash.

Quarter	CFO before legal	Capex	FCF before legal	Debt principal	NM cash	Unfunded cash	Capital required
Q4 2026	34,880	54,176	-19,296	0	0	57,728	0
Q1 2027	35,101	40,000	-4,899	2,750	0	44,189	0
Q2 2027	36,816	40,000	-3,184	0	0	35,115	0
Q3 2027	39,170	40,000	-830	0	0	28,395	0
Q4 2027	43,806	40,000	3,806	0	0	26,311	0
Q1 2028	41,900	47,500	-5,600	1,500	0	13,321	529
Q2 2028	43,892	47,500	-3,608	0	0	3,824	6,176
Q3 2028	46,818	47,500	-682	0	0	-2,748	12,748
Q4 2028	52,321	47,500	4,821	0	14,625	-18,442	28,442
Q1 2029	51,126	52,500	-1,374	1,000	0	-26,706	36,706
Q2 2029	53,667	52,500	1,167	0	0	-31,428	41,428
Q3 2029	57,277	52,500	4,777	0	0	-32,541	42,541
Q4 2029	63,551	52,500	11,051	0	0	-27,380	37,380
Q1 2030	61,773	55,000	6,773	5,000	0	-31,496	41,496
Q2 2030	64,940	55,000	9,940	0	0	-27,446	37,446
Q3 2030	69,259	55,000	14,259	0	0	-19,076	29,267
Q4 2030	76,320	55,000	21,320	0	0	-3,645	15,874

Required external capital is calculated on each joint business/legal path before weighting: the greater of zero and the USD 10,000M reserve minus unfunded cash. The cumulative peak retains the largest funding gap reached to date, even if cash later improves. A mean cash number cannot substitute for these nonlinear path requirements. Financing access, pricing, covenants and dilution remain unresolved.

Business / legal state	Joint weight	NM cash	Q4 2028 unfunded cash	Peak capital through 2030
slower adoption cost progress / reversed	5%	0	-13,882	45,253
slower adoption cost progress / reduced on appeal	10%	13,000	-26,882	58,253
slower adoption cost progress / affirmed	5%	32,500	-46,382	77,753
continued ads and efficiency / reversed	15%	0	-3,198	27,036
continued ads and efficiency / reduced on appeal	30%	13,000	-16,198	40,036
continued ads and efficiency / affirmed	15%	32,500	-35,698	59,536
faster commercial adoption / reversed	5%	0	4,393	16,080
faster commercial adoption / reduced on appeal	10%	13,000	-8,607	29,080
faster commercial adoption / affirmed	5%	32,500	-28,107	48,580

New outside capital	Assumed legacy issue price	Additional units M	Total units M	Target reduction, basis points
10,000	400	25	2,585	97
10,000	600	17	2,577	65
10,000	800	12	2,572	49
25,000	400	62	2,622	238
25,000	600	42	2,602	160
25,000	800	31	2,591	121
50,000	400	125	2,685	466
50,000	600	83	2,643	315
50,000	800	62	2,622	238

A reduction of 100 basis points equals 1%. Whole basis points keep small dilution effects visible when a rounded percentage factor would otherwise read 100%. Exact units and target factors remain in the financial model.

These are uncommitted funding sensitivities, not an announced financing or a probability-weighted share issuance in the point target. The point target remains conditional on the sanctioned fixed owner unit basis and access to capital. New debt coupons or outside shares could lower shareholder returns. The 0% and 100% outside-capex coupon cases test extra cash cost at a fixed capex budget, rather than pretending a pure accounting reclassification creates value.

The following complete business-state cash paths retain the expected legal payment. All figures are USD millions. To reconstruct a joint legal path, replace the expected Q4 2028 legal cash with the selected legal outcome and carry the cash difference forward. Each path uses the same reserve test before probability weighting. No financing proceeds or repayment of hypothetical new funding enters these unfunded paths.

Quarter	Business state	CFO	Capex	Coupon paid	Principal	Legal cash	Cash close
Q4 2026	slower adoption cost progress	34,880	54,176	770	0	0	57,728
Q1 2027	slower adoption cost progress	34,113	40,000	770	2,750	465	43,201
Q2 2027	slower adoption cost progress	35,658	40,000	745	0	465	32,969
Q3 2027	slower adoption cost progress	37,928	40,000	745	0	465	25,008
Q4 2027	slower adoption cost progress	42,403	40,000	745	0	465	21,521
Q1 2028	slower adoption cost progress	40,723	47,500	745	1,500	465	7,354
Q2 2028	slower adoption cost progress	42,645	47,500	731	0	465	-3,390
Q3 2028	slower adoption cost progress	45,473	47,500	731	0	465	-11,306
Q4 2028	slower adoption cost progress	50,814	47,500	731	0	15,090	-28,507
Q1 2029	slower adoption cost progress	49,665	52,500	731	1,000	465	-38,232
Q2 2029	slower adoption cost progress	52,121	52,500	722	0	465	-44,501
Q3 2029	slower adoption cost progress	55,614	52,500	722	0	465	-47,277
Q4 2029	slower adoption cost progress	61,708	52,500	722	0	465	-43,959
Q1 2030	slower adoption cost progress	59,970	55,000	722	5,000	465	-49,878
Q2 2030	slower adoption cost progress	63,039	55,000	676	0	465	-47,729
Q3 2030	slower adoption cost progress	67,229	55,000	676	0	465	-41,390
Q4 2030	slower adoption cost progress	74,099	55,000	676	0	465	-28,181

Quarter	Business state	CFO	Capex	Coupon paid	Principal	Legal cash	Cash close
Q4 2026	continued ads and efficiency	34,880	54,176	770	0	0	57,728
Q1 2027	continued ads and efficiency	35,177	40,000	770	2,750	465	44,265
Q2 2027	continued ads and efficiency	36,898	40,000	745	0	465	35,273
Q3 2027	continued ads and efficiency	39,259	40,000	745	0	465	28,642
Q4 2027	continued ads and efficiency	43,910	40,000	745	0	465	26,662
Q1 2028	continued ads and efficiency	41,954	47,500	745	1,500	465	13,727
Q2 2028	continued ads and efficiency	43,954	47,500	731	0	465	4,291
Q3 2028	continued ads and efficiency	46,888	47,500	731	0	465	-2,210
Q4 2028	continued ads and efficiency	52,402	47,500	731	0	15,090	-17,823
Q1 2029	continued ads and efficiency	51,203	52,500	731	1,000	465	-26,010
Q2 2029	continued ads and efficiency	53,754	52,500	722	0	465	-30,646
Q3 2029	continued ads and efficiency	57,374	52,500	722	0	465	-31,661
Q4 2029	continued ads and efficiency	63,660	52,500	722	0	465	-26,391
Q1 2030	continued ads and efficiency	61,882	55,000	722	5,000	465	-30,399
Q2 2030	continued ads and efficiency	65,059	55,000	676	0	465	-26,230
Q3 2030	continued ads and efficiency	69,388	55,000	676	0	465	-17,732
Q4 2030	continued ads and efficiency	76,460	55,000	676	0	465	-2,161
Q4 2026	faster commercial adoption	34,880	54,176	770	0	0	57,728
Q1 2027	faster commercial adoption	35,860	40,000	770	2,750	465	44,948

Quarter	Business state	CFO	Capex	Coupon paid	Principal	Legal cash	Cash close
Q2 2027	faster commercial adoption	37,728	40,000	745	0	465	36,786
Q3 2027	faster commercial adoption	40,142	40,000	745	0	465	31,038
Q4 2027	faster commercial adoption	44,896	40,000	745	0	465	30,045
Q1 2028	faster commercial adoption	42,916	47,500	745	1,500	465	18,071
Q2 2028	faster commercial adoption	44,954	47,500	731	0	465	9,635
Q3 2028	faster commercial adoption	47,953	47,500	731	0	465	4,198
Q4 2028	faster commercial adoption	53,584	47,500	731	0	15,090	-10,232
Q1 2029	faster commercial adoption	52,355	52,500	731	1,000	465	-17,267
Q2 2029	faster commercial adoption	54,953	52,500	722	0	465	-20,705
Q3 2029	faster commercial adoption	58,650	52,500	722	0	465	-20,444
Q4 2029	faster commercial adoption	65,068	52,500	722	0	465	-13,766
Q1 2030	faster commercial adoption	63,250	55,000	722	5,000	465	-16,406
Q2 2030	faster commercial adoption	66,487	55,000	676	0	465	-10,809
Q3 2030	faster commercial adoption	70,905	55,000	676	0	465	-793
Q4 2030	faster commercial adoption	78,122	55,000	676	0	465	16,439

Total cash, cash equivalents, restricted cash, and restricted cash equivalents	$ 24,354	$ 11,941	$ 24,354	$ 11,941
Supplemental cash flow data				
Cash paid for income taxes, net	$ 927	$ 749	$ 2,926	$ 6,293

Segment Results

We report our financial results for our two reportable segments: Family of Apps (FoA) and Reality Labs (RL). FoA includes Facebook, Instagram, Messenger, WhatsApp, and other services. RL includes our virtual and augmented reality related consumer hardware, software, and content.

The following table sets forth our segment information of revenue and income (loss) from operations:

Segment Information
(In millions)
(Unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2026	2025	2026	2025
Revenue:				
Advertising	$ 63,061	$ 50,082	$ 177,449	$ 138,037
Other revenue	1,097	690	2,987	1,784
Family of Apps	64,158	50,772	180,436	139,821
Reality Labs	443	470	1,276	1,252
Total revenue	$ 64,601	$ 51,242	$ 181,712	$ 141,073
Income (loss) from operations:				
Family of Apps	$ 17,117	$ 24,967	$ 67,410	$ 71,702
Reality Labs	(4,129)	(4,432)	(12,775)	(13,171)
Total income from operations	$ 12,988	$ 20,535	$ 54,635	$ 58,531

Reconciliation of GAAP to Non-GAAP Results
(In millions, except percentages)
(Unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2026	2025	2026	2025
GAAP revenue	$ 64,601	$ 51,242	$ 181,712	$ 141,073
Foreign exchange effect on 2026 revenue using 2025 rates	113		(2,320)	
Revenue excluding foreign exchange effect	$ 64,714		$ 179,392	
GAAP revenue year-over-year change %	26 %		29 %	
Revenue excluding foreign exchange effect year-over-year change %	26 %		27 %	
GAAP advertising revenue	$ 63,061	$ 50,082	$ 177,449	$ 138,037
Foreign exchange effect on 2026 advertising revenue using 2025 rates	96		(2,342)	
Advertising revenue excluding foreign exchange effect	$ 63,157		$ 175,107	
GAAP advertising revenue year-over-year change %	26 %		29 %	
Advertising revenue excluding foreign exchange effect year-over-year change %	26 %		27 %	
Net cash provided by operating activities	$ 32,786	$ 29,999	$ 96,873	$ 79,586
Purchases of property and equipment	(33,942)	(18,829)	(83,055)	(48,308)
Principal payments on finance leases	(964)	(545)	(2,769)	(1,770)
Free cash flow	$ (2,120)	$ 10,625	$ 11,049	$ 29,508

Meta issuer Q3 release, physical page 9. Original cash-flow information. Definitions and accounting cash lines are retained; the model separates future cash proxies from this reported statement.

Analytical score and protected spreadsheet Base

Category	Points	Maximum	Reason
Core thesis	18	20	Ads distribution, cash earnings and recommendation improvements remain strong. AI capacity and regulated platform access have significant costs.
Cycle stage	8	10	Core ads remain in expansion; new personal agents are early commercial adoption with compute constraints.
TAM expansion	9	10	Agent commerce, messaging and enterprise expand addressable receipts, with paid conversion and permissioned integrations still conditional.
Catalysts	5	5	Q3 results and Q4 guidance delivered. January charter effectiveness and the Q4 budget/capacity outlook are the next tests.
Macro	8	10	AI engagement/ad productivity supports growth; infrastructure financing and advertising cyclicality constrain returns.
Alpha	3	5	Separates Muse user activity from receipts and costs, and separates ordinary GAAP profit, legal cash and distribution units.
Risks	-5	0	Five risk points within the cap: legal/regulatory loss and injunction uncertainty; financing/dilution; compute monetization and execution; ad competition and macro cyclicality. The separate USD 25B privacy judgment with 15% annual interest increases severity.

The raw score is 46 out of 60, or 77 out of 100 rounded. Legal severity, financing, execution and competition are distinct risk classes within the framework cap. Analytical Base previously 80 falls to 77 rounded. Protected Excel Base stays 80. Former JSON metadata showing 99 was stale; reconciling the file to the actual protected master value is not an owner Base change.

Risks, falsification and the next tests

Risk	Evidence that would change the case	Next test
Return on AI assets	Compute utilization and paid receipts fail to cover depreciation, serving and development costs.	Full 2027 expense/capex plan, activation schedules and monetization cohorts.
Legal and access	Appeal, injunction, interest or recognition is materially worse than the assumed outcomes.	Docket orders, verified stay/bond terms, issuer accounting disclosure and payment dates.
Funding and dilution	Capital needed before cash recovery exceeds financing capacity or costly securities are issued.	Actual debt/equity terms and updated cash/maturity detail.
Ads competition and macro	Advertiser returns, useful impressions or pricing weaken despite added compute.	Matched volume/price/conversion measures and core margins.
Agent monetization	Setups do not become retained active users or cash receipts; better intelligence consumes savings.	Paid conversion, net ARPU, qualified commerce take and actual serving/support costs.

The next critical information is management's full-year 2027 cost/capacity outlook, the detailed current filing, agent revenue and unit-cost evidence, the Class C record/payment mechanics and the New Mexico appeal/accounting sequence. The model can rise if Meta monetizes efficiently with lower paid cost or loses legal risk. Strong ad growth combined with rapidly rising paid capital can also produce lower shareholder returns than a revenue-only extrapolation suggests.

Sources, completeness and reproducibility

Original source	Location	SHA256
A11_Q3_release_newsPDF	https://s21.q4cdn.com/399680738/files/doc_news/Meta-Reports-Third-Quarter-2026-Results-2026.pdf	2e3c8324a8ceed11b398000645ad0d117a7bb74f08cdda9c2f97cf51bc48d232
A21_AG_settlement_Aug26	https://s21.q4cdn.com/399680738/files/doc_news/Metas-Agreement-With-Bipartisan-Attorneys-General-Calling-on-TikTok-and-YouTube-to-Join-Us-in-Supporting-Teens-2026.pdf	d6a617ede3a54a1eb1d088c456c01b42fca9cc28beb1cc8bc52f51ac4567bd5a
A22_Official_call_schedule_Oct12	https://s21.q4cdn.com/399680738/files/doc_news/Meta-to-Announce-Third-Quarter-2026-Results-2026.pdf	61af8bf017d247166a21cc228a63a70b1ad1c5b066d0abb199c3be1a9634d9c2
A04_SEC_submissions	https://data.sec.gov/submissions/CIK0001326801.json	62e4c2487cea4e2e3f63c7b0531897ade3d791be6bc7b9dd662ac70430a554d9

Current issuer release: full 10 pages read, with important financial and guidance pages visually checked. The complete 59,168-character current call text and the prior 21-page issuer call were read. The exact older source bytes are preserved. Current issuer transcript PDF, slides, full Q3 10-Q and complete capital-action filings remain unavailable. Transport completion does not prove those missing sources exist in the packet.

The dated June SEC filing supplies PPE/CIP, debt, commitments and policy context through saved official text responses; direct raw HTML returned 403 and is not mislabeled as a downloaded full filing. The FY2025 annual-report useful-life notes were read and verified on the original pages, not the entire 139-page annual report. The actual 20-page New Mexico court judgment was read through OCR and selected original pixels. Secondary appeal commentary remains secondary. The source addendum preserves exact originals, hashes, dates and scope.

Unknowns remain explicit: current exact CIP, future asset mix and useful lives, activation dates, future lease additions, exact annual coupon capitalization, current detailed debt maturity schedule, paid Muse conversion and take, legal recognition/payment/stay/interest convention and actual new financing terms. Numerical probabilities and the paid operating model are ASTRA analysis. No inaccessible exhibit is used to invent revenue or a missing transcript.

The full JSON retains exact probabilities, full-precision calculations, all 18 quarterly outcomes, 15 valuation chains, three business cash paths and nine joint funding paths. Report, linked spreadsheet and affected master are validated separately before publication. Microsoft Office is unavailable; native Excel and unsupported unrelated legacy behavior remain unverified. Recoverable prior artifacts and source originals remain preserved under the historical original filename.